ERP Adoption and Rollout in SMEs and Large Organisations

A complexity-adjusted capability perspective on how size shapes enterprise system adoption and rollout.

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THE QUESTION

Does organisational size determine whether an ERP implementation succeeds, or does something else decide it and merely correlate with size?

1 Size raises capability and complexity at the same time, so it predicts little on its own

Scale brings capital, bargaining power and specialist expertise, but also legacy estate, process diversity and coordination burden. These effects oppose each other, which is why the size-to-outcome relationship is configurational rather than linear.

2 The proposition: capability has to be commensurate with complexity

Rollout outcomes depend on whether capability matches the complexity and irreversibility created by architecture, process design and sequencing. Complexity-adjusted capability is an analytical lens, not a ratio to be calculated.

3 The SME threshold is analytical, not an assumption about difficulty

Using the European Commission definition of fewer than 250 employees, regulation, international reach and interdependence can make an ERP implementation in a multi-site SME harder than in a larger but operationally homogeneous firm.

4 Deployment architecture is an economic choice about reversibility

On-premises, SaaS and hybrid each trade control against lifecycle cost. Modularity has economic value only when contracts, data architecture and interfaces preserve a genuine option to expand, defer or exit; otherwise a nominal pilot becomes the first irreversible stage of a vendor-dependent programme.

SCOPE AND LIMITATIONS

This is a conceptual and literature-based analysis rather than an empirical study. The complexity-adjusted capability lens is a synthesis argued from published research and systematic reviews; it is not tested against implementation outcome data, and it produces no threshold, score or measurement. The SME and large-organisation binary is adopted for analytical tractability and the report is explicit that it does not equate size with complexity. Claims about deployment architecture reflect the state of the literature rather than primary evidence from implementations.

THE CHOICES THAT ACTUALLY DECIDE THE OUTCOME

- **Deployment architecture:** on-premises control versus SaaS lifecycle economics versus hybrid integration cost
- **Modularity:** finance-first or bounded pilots preserve the option to expand, defer or exit, but only if contracts and interfaces genuinely allow it
- **Governance:** integration quality depends on governance rather than the deployment label
- **Sequencing:** a pilot that excludes difficult sites creates false confidence
- **Data ownership and process authority:** ERP adoption changes both, which is why it is not an IT project

WHY THE FRAMING MATTERS

- ERP value comes from **replacing fragmentation with a governed information architecture**, not from automating transactions
- Standard release cycles, partner dependence and subscription exposure **constrain SME autonomy** even as they lower entry barriers
- Large estates often **preserve obsolete interfaces and local variants**, so capability is consumed before it can be deployed

Built with Literature synthesis · configurational analysis · European Commission SME definition · systematic review evidence

Delivered conceptual framework · technology and economics evaluation · adoption and rollout comparison